

# Merchant Risk Policy

RiskGuard Demo Knowledge Base · Document ID: MERCH-POL-04 · Fictional policy for demonstration purposes only

## 1. Purpose and Scope

This policy defines how merchant-level attributes — merchant category, merchant trust score, and merchant tenure — factor into transaction risk decisions.

## 2. Merchant Trust Score

Every merchant on the platform is assigned a trust score from 0 to 100 based on historical chargeback rate, dispute rate, and account verification level. Merchants with a trust score below 30 contribute a minimum of 20 points of policy risk to every transaction routed through them.

Merchants with a trust score above 80 are considered Trusted Merchants and receive a 5-point policy risk reduction on transactions below 10,000 INR, reflecting their strong historical performance.

## 3. High-Risk Merchant Categories

The following merchant categories are designated High-Risk by default and contribute a minimum of 25 points of policy risk regardless of trust score: cryptocurrency exchanges, gambling and gaming platforms, money transfer services, and adult content platforms.

A merchant category may be removed from the High-Risk list only through a quarterly review by the Merchant Risk Committee, and additions to the list may be made at any time if a category shows a sustained rise in confirmed fraud or dispute rates.

## 4. New Merchant Onboarding Risk

Merchants onboarded fewer than 30 days ago are considered New Merchants. Transactions routed through New Merchants contribute an additional 15 points of policy risk until the merchant completes its first 90 days or its first 500 transactions, whichever comes first.

## 5. Unregistered or Unknown Merchants

If a transaction references a merchant identifier that does not exist in the merchant database, the transaction contributes a minimum of 10 points of policy risk and must be routed to Review at minimum, since an unregistered merchant cannot be risk-assessed on its own history.